



FOURTH QUARTER AND FULL YEAR 2014 FINANCIAL RESULTS

February 11, 2015

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, expectations regarding products, future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2013, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FULL YEAR RESULTS

- All regions contributed to strong operational¹ revenue growth
- Adjusted Net Income² grew faster than revenue
- Zoetis Livestock brands benefited from strong producer profitability
- Apoquel and other key Zoetis brands drove Companion Animal growth

NEW PRODUCTS & SOLUTIONS FOR CUSTOMERS

- New oral flea & tick parasiticide for dogs filed in the U.S., EU, and Canada
- Novel antibody therapy filed in the U.S. for atopic dermatitis in dogs
- Purchase of Abbott Animal Health assets to strengthen pain/sedation and diagnostics portfolios

SOLID INDUSTRY FUNDAMENTALS

- Positive outlook for Livestock and Companion Animal
- Strong underlying demand for animal health products despite FX headwinds
- Zoetis to grow in-line with or faster than the animal health market

¹Operational growth is defined as growth excluding the impact of foreign exchange

²Non-GAAP adjusted net income (non-GAAP financial measure) is defined as reported net income attributable to Zoetis, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

FULL YEAR 2014 RESULTS

- Revenue growth from a variety of sources
- Second consecutive year of 7% operational¹ growth
- Second year above long-term growth trend
- Positive operational¹ trends heading into 2015, despite foreign exchange headwinds

¹Operational growth is defined as growth excluding the impact of foreign exchange

FULL YEAR 2014 RESULTS VS. GUIDANCE

Selected Line Items	Nov. 4 Earnings Guidance	2014 Actual
Revenue	\$4,700 to \$4,750 million	\$4,785 million
Adjusted cost of sales as a percentage of revenue ¹	Approximately 35.5%	35.1%
Adjusted SG&A expenses ¹	\$1,460 to \$1,480 million	\$1,507 million
Adjusted R&D expenses ¹	\$385 to \$395 million	\$393 million
Adjusted interest expense and other (income) / deductions ¹	Approximately \$110 million	\$106 million
Effective tax rate on adjusted income ¹	Approximately 29%	26.8%
Adjusted diluted EPS ¹	\$1.50 to \$1.54	\$1.57
Certain significant items ² and acquisition-related costs	\$180 to \$195 million	\$213 million
Reported diluted EPS	\$1.16 to \$1.20	\$1.16

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, adjusted interest expense and adjusted other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Primarily includes certain nonrecurring costs related to becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, certain legal registration and patent assignment costs, as well as other charges.

INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter		
	2014*	2013*	Change
Revenue	\$1,320	\$1,254	5%
Reported Net Income	126	105	20%
Reported Diluted EPS	\$0.25	\$0.21	19%
Adjusted Net Income ¹	203	180	13%
Adjusted Diluted EPS ¹	\$0.40	\$0.36	11%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

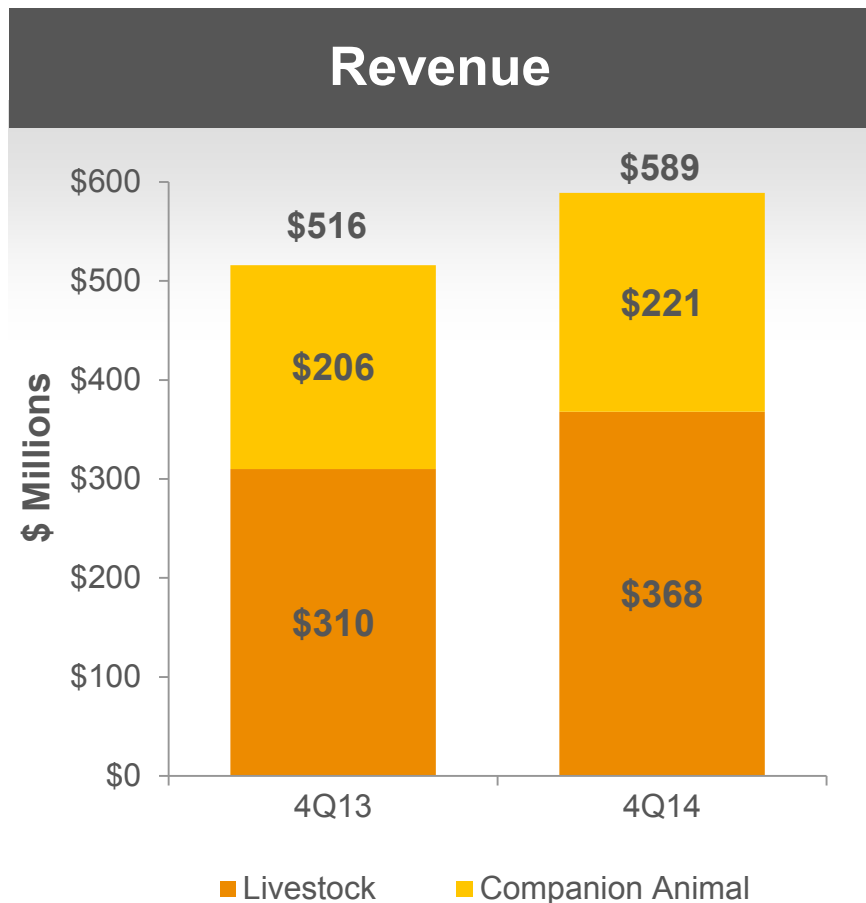
	Fourth Quarter				
	2014*	2013*	Change	Foreign Exchange	Operational ²
Revenue	\$1,320	\$1,254	5%	(4)%	9%
Adjusted Cost of Sales ¹	471	444	6%	(6)%	12%
<i>as a percent of revenue</i>	35.7%	35.4%	NA	NA	NA
Adjusted SG&A Expenses ¹	450	406	11%	(3)%	14%
Adjusted R&D Expenses ¹	122	119	3%	(1)%	4%
Effective Tax Rate on Adjusted Income ¹	18%	29%	NA	NA	NA
Adjusted Net Income ¹	203	180	13%	1%	12%

*Millions of dollars
NA – Not applicable

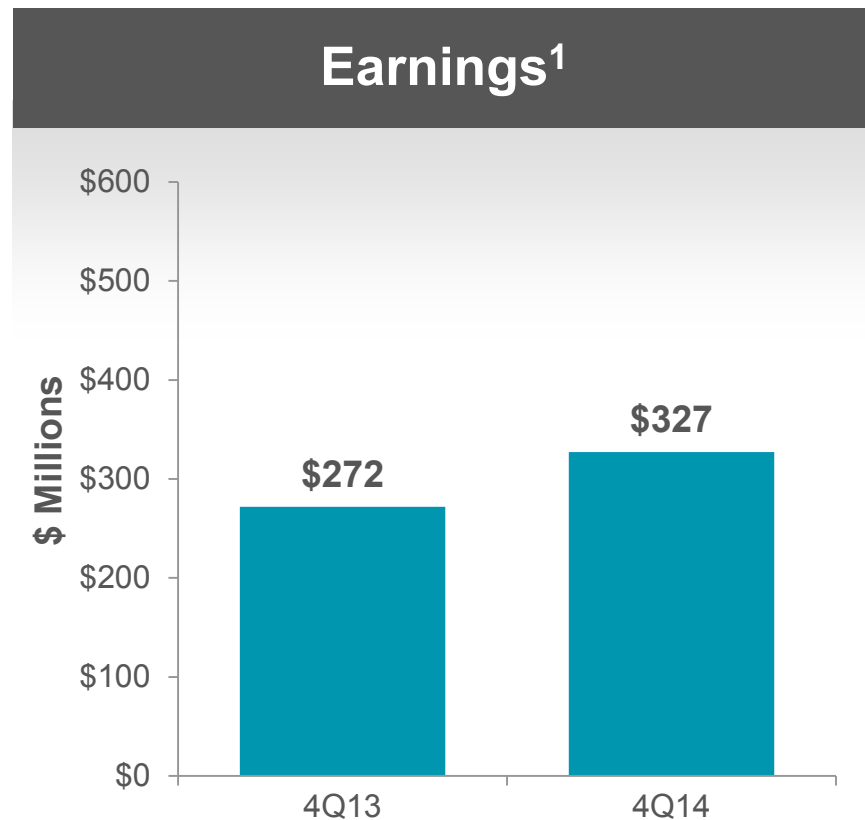
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²Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE



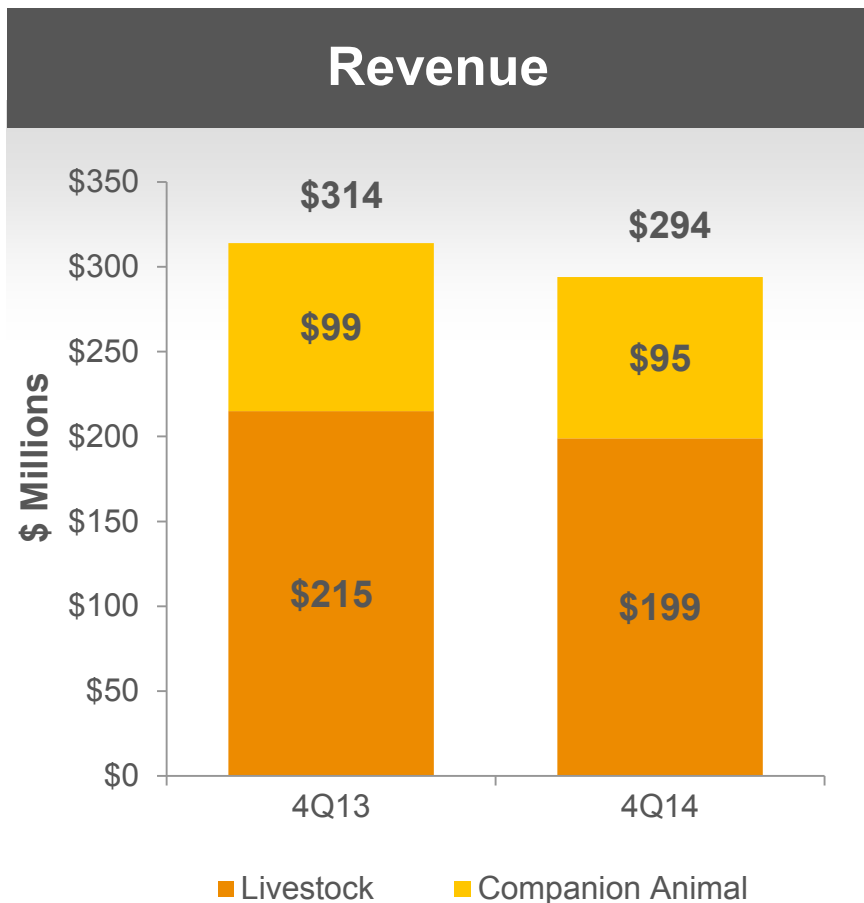
14% Growth



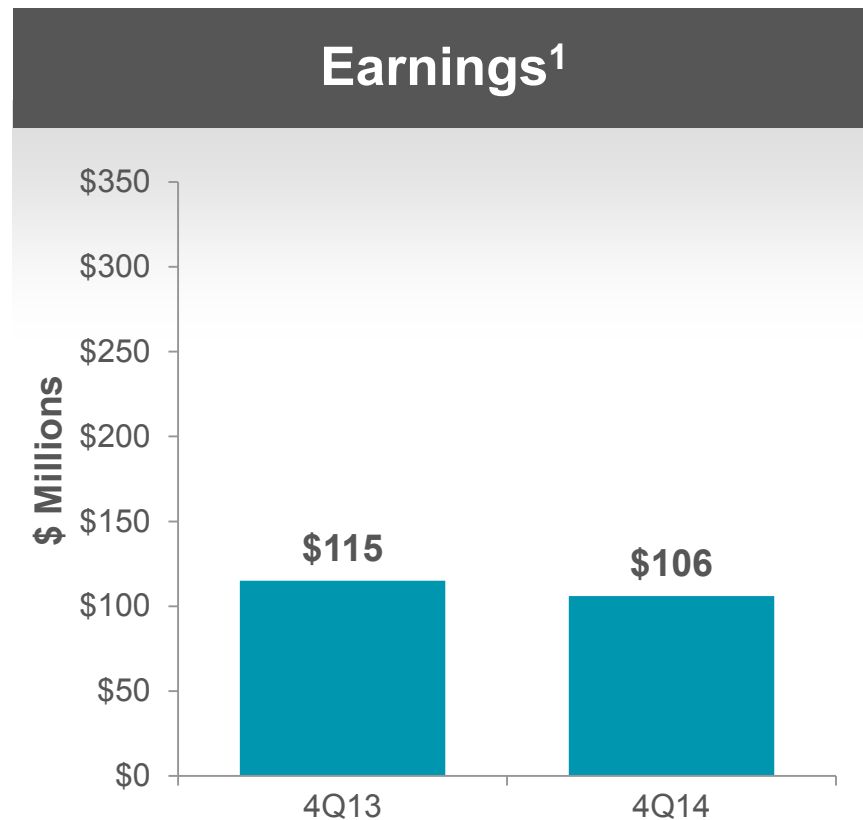
20% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



6% Reported Decline
1% Operational² Decline

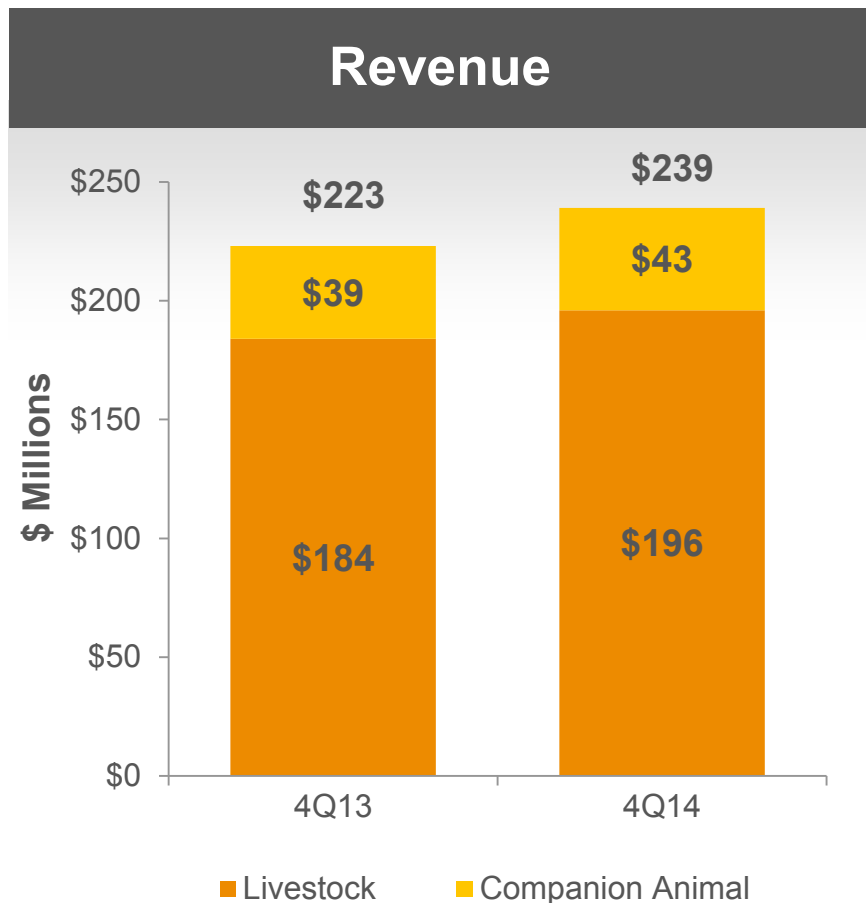


8% Reported Decline
4% Operational² Decline

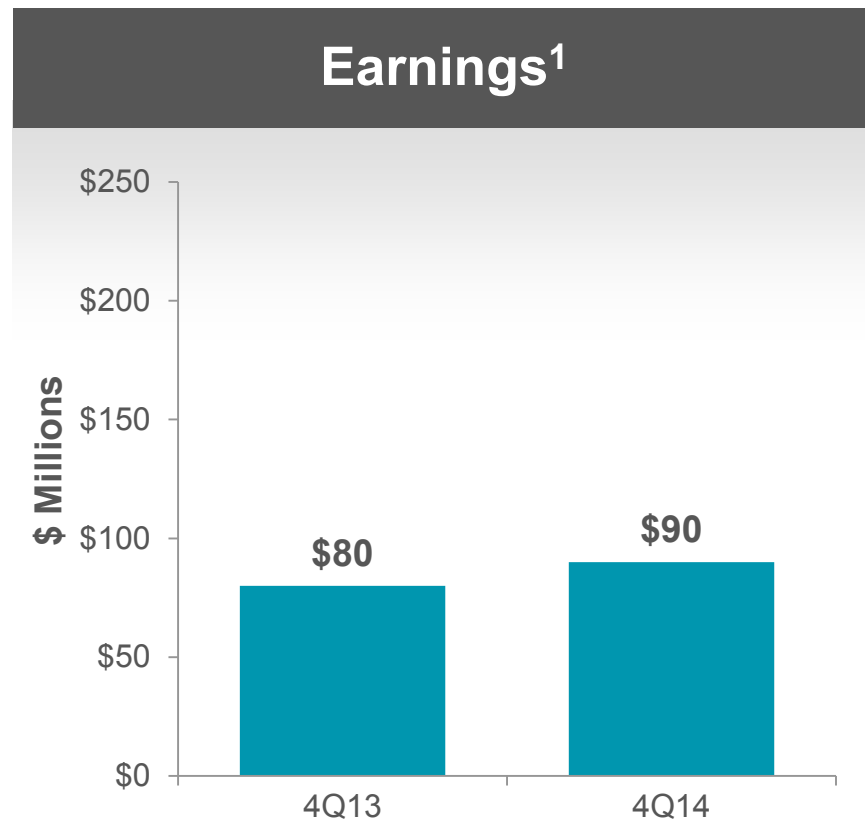
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



7% Reported Growth
16% Operational² Growth

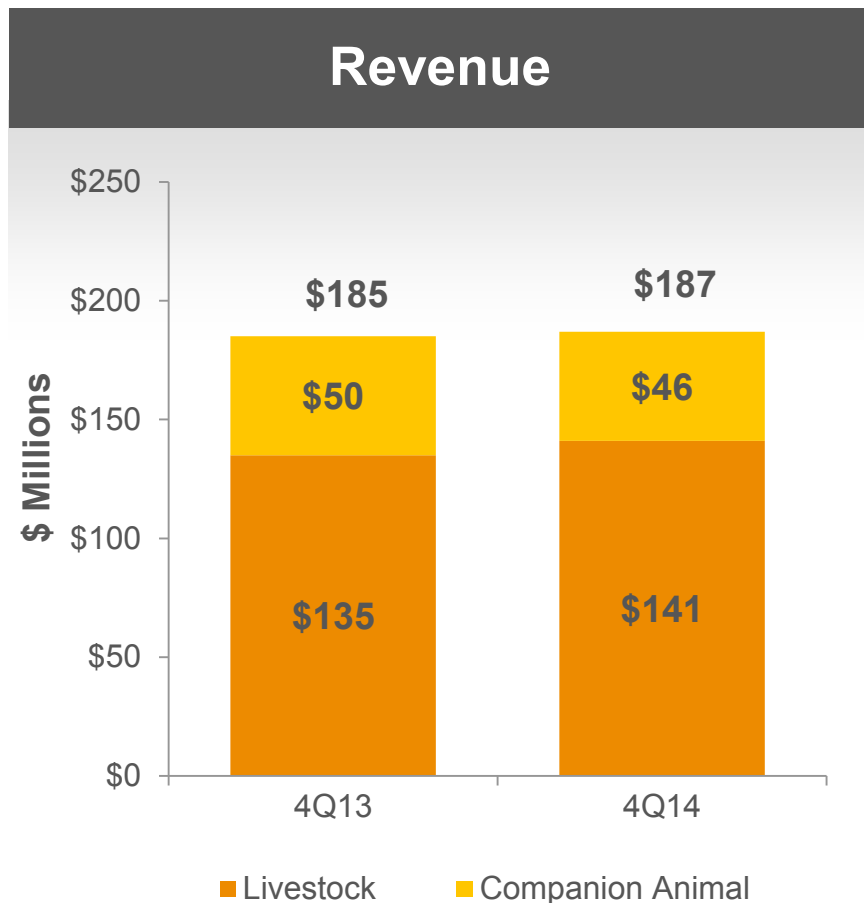


13% Reported Growth
20% Operational² Growth

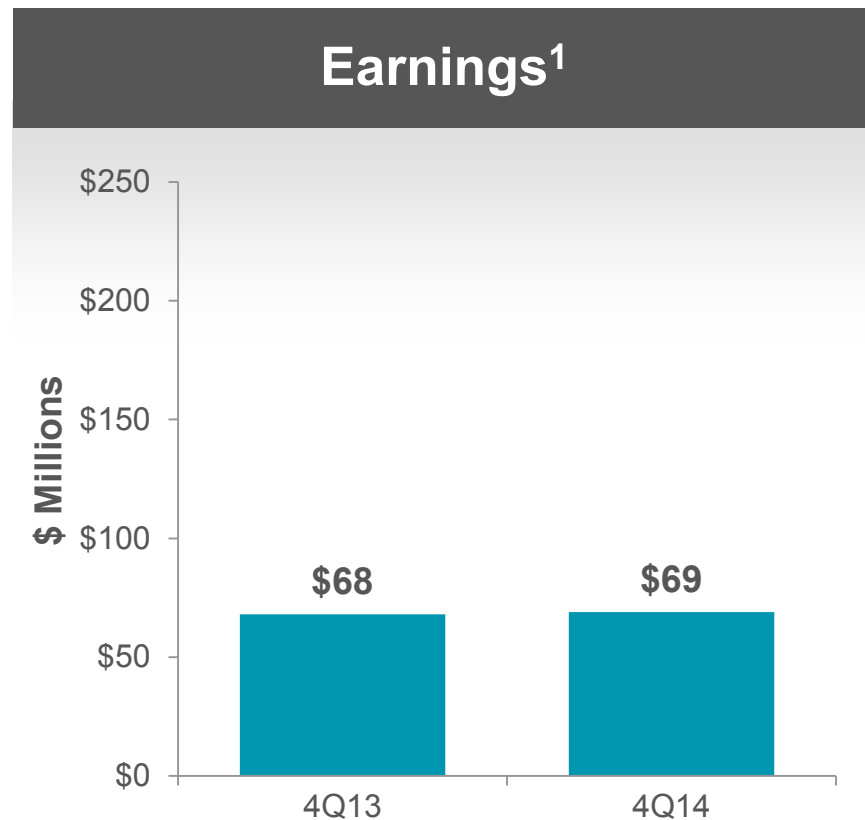
¹Defined as income before provision for taxes on income

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APAC SEGMENT PERFORMANCE



1% Reported Growth
4% Operational² Growth



1% Reported Growth
6% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2015 FINANCIAL GUIDANCE

Selected Line Items	As provided on Investor Day on November 18, 2014	Foreign Exchange ⁴	Other	Abbott ⁵	Updated Full Year 2015
Revenue <i>Operational Growth</i> ¹	\$4,850 to \$4,950 million 6.5% to 8.5%	(\$125) million		\$75 million	\$4,800 to \$4,900 million 6.5% to 8.5%
Adjusted cost of sales as a percentage of revenue ²	Approximately 35.5%			0.5%	35.5% to 36.0%
Adjusted SG&A expenses ²	\$1,470 to \$1,520 million	(\$35) million	(\$35) million	\$20 million	\$1,420 to \$1,470 million
Adjusted R&D expenses ²	\$385 to \$405 million	(\$5) million		\$5 million	\$385 to \$405 million
Adjusted interest expense and other (income) / deductions ²	Approximately \$110 million				Approximately \$110 million
Effective tax rate on adjusted income ²	Approximately 29%				Approximately 29%
Adjusted diluted EPS ²	\$1.61 to \$1.68	(\$0.06)	\$0.05	\$0.01	\$1.61 to \$1.68
Adjusted Net Income <i>Operational Growth</i> ¹	\$810 to \$845 million 12% to 16%	(\$30) million	\$25 million	\$5 million	\$810 to \$845 million 11% to 16%
Certain significant items ³ and acquisition-related costs	\$130 to \$150 million			\$10 million	\$140 to \$160 million
Reported diluted EPS	\$1.36 to \$1.43	(\$0.06)	\$0.05	(\$0.03)	\$1.32 to \$1.39

¹Operational growth excludes the impact of foreign exchange.

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⁴Reflects the impact of changes between mid-November 2014 and late January 2015 foreign exchange rates

⁵Reflects the expected impact of acquiring the assets of Abbott Animal Health, subject to the final purchase price allocation.

Q&A

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